the owner of public-sector companies, does not allow conduct of the business of public-sector undertakings by their boards and management. Every public-sector company is placed under the policy and investment control of one administrative ministry/department of the government. The officers of the concerned ministries/departments join the board of directors. This arrangement results in strategic, investment and operational control of public-sector undertakings being effectively passed to the hands of the administrative ministries/departments.

The Government of India has quite a few big ministries and departments to dabble in at the industry level despite ending the reservation for the public sector and abolishing the licence permit raj. These include the Ministry of Steel, Ministry of Heavy Industries, Ministry of Fertilizers and Department of Chemicals and Petrochemicals, to name a few. As they do not have much of a policymaking role, they essentially end up controlling and managing public-sector enterprises under their administrative control including their investments, appointment of senior managerial personnel and foreign travel, besides heavily influencing operational matters of CPSEs.

For re-privatization of public-sector undertakings, the Government of India would have to bring fundamental change in their governance arrangement. The best way would be to delink public-sector enterprises from their administrative ministries. If such a delinking takes places, a number of industry-specific ministries/departments may also not be required. Industry-specific ministries and departments should therefore be disbanded.

Complete the Privatization Programme Initiated in Budget 2021–22

After selling small stakes in public-sector undertakings for many years and some pseudo-privatization (HPCL sold to ONGC, two power companies